This concern for the less privileged raises a larger debate about whether central banks should at all reckon with the distributional consequences of their monetary policy. In other words, should central banks worry about how their policy might affect the poor vis-à-vis the rich or remain strictly agnostic? I raise this issue because some analysts said that I was distorting the debate by looking at inflation from an equity perspective instead of treating it as any other macro variable.

This is not just a poor-country issue. Even in rich countries, there is a contentious debate under way, especially in the context of the heightened concern about growing inequalities, on whether central banks should concern themselves with how their policies affected the rich vis-à-vis how they affected the poor. Take QE by the Federal Reserve. A principal objective of QE is to raise the prices of assets so that the wealth effect would induce more spending, and thereby stimulate the economy. Some left-leaning economists have criticized the Fed for acting like a ‘reverse Robin Hood’ since it is the rich who hold a disproportionate share of the assets whose prices are being primed by QE. Bob Corker, a senator, accused Bernanke of ‘throwing senior citizens under the bus’ by keeping interest rates low.

This argument that QE has adverse distributional consequences has expectedly been countered on several grounds. Most importantly, it has been argued that the tools available to the Fed are best suited to raising the level of national prosperity which is generally neutral in its distributional consequence as much as a rising tide lifts all boats. If indeed there are any consequent equity issues, it is for the government to take corrective action. It will be costly for the central bank to deviate from an optimal policy course to accommodate equity concerns. Also, it is risky for an independent central bank to wade into politically sensitive issues like equity.

This is a debate that frowns on moderation; we are unlikely to see a consensus. But for me, the issue has always been clear. In a poor country like India, the Reserve Bank just cannot afford to be insensitive to the distributional consequences of its policies.